



STABLE INCOME SOURCE

Real estate provides a stable source of income in the form of rental yield. The tenants are generally sticky on an annual basis and as a result, they provide a stable source of rental income to the owner.

ALLOWS USE OF LEVERAGE

Real estate is the only asset class where debt or loans can be used to buy the assets and hence, increase our returns. No other asset class can be bought using loans.

ENTERTAINS BLACK MONEY

Real Estate is one of the key asset classes when it comes to parking black money. Despite its unethical and risky nature, if someone is still bent on using black money, real estate has always been one of the most prominent avenues to entertain the same.

PSYCHOLOGICALLY EASY TO HOLD

We already saw on the previous page that real estate is a physical asset and along with investment value, it also has a utility value attached to it. As a result, it is psychologically easier to buy and hold real estate than other asset classes.



REAL ESTATE IS A BULKY PURCHASE

Each asset is a bulky purchase. A person with Rs. 10,000 can buy mutual funds, and invest in fixed deposits but cannot buy a piece of real estate. Hence, a SIP sort of arrangement is not functional in real estate.

REAL ESTATE IS ILLIQUID

It takes a few months to a few years to sell a piece of real estate. The process of finding a buyer who likes the property takes a lot of time. Thus, we cannot meet short term goals using real estate investments.

REAL ESTATE NEEDS MAINTENANCE

We have to take care of repairs, incur electricity charges, society charges, housekeeper charges, and so on. Thus, real estate maintenance takes time and a lot of effort. This is not the case with other asset types.